

BGIN Meeting Report

Date: TBD

Location: Virtual Meeting

Executive Summary

The session focused on the implications of AI agents in financial applications, particularly stable coin payments and virtual assets. The discussion covered various aspects including regulatory challenges, policy recommendations, and potential impacts on cross-border transactions and market dynamics. Key points included:

1. **Regulatory Challenges:** Establishing identity frameworks for AI agents, mandating smart contract audits, developing global standards for AI agent activity in digital asset markets, and incorporating agent risk into stress testing.
2. **Policy Recommendations:** Suggestions such as creating an AI agent identity framework, gating financial institutions to interact only with audited smart contracts, and cross-border standardization were discussed.
3. **Cross-Border Effects:** The potential impact of AI agents on foreign reserves and the need for monitoring and regulation were highlighted.
4. **Stress Testing:** The importance of stress testing stable coins for agentic e-commerce was emphasized, including self-regulation by stable coin companies to ensure responsible network management.

Key Discussion Points

1. **AI Agents as Predominant Users:**
 - AI agents are expected to become the primary users of virtual assets and stable coin payments.
 - This shift necessitates Bgin taking a leadership role in financial applications involving AI.
2. **Identity Frameworks:**
 - Establishing an identity framework for AI agents is crucial for regulation and accountability.
 - Technical solutions and regulatory policies need to be developed collaboratively by the industry and regulators.
3. **Smart Contract Audits:**
 - Mandating smart contract audits has been a long-standing recommendation but remains non-mandatory in many jurisdictions.

- Ensuring the security and reliability of smart contracts is essential for building trust in AI-driven financial systems.
- 4. **Cross-Border Standards:**
 - Developing global standards for AI agent activity in digital asset markets could enhance interoperability and reduce regulatory fragmentation.
 - Current discussions around CBDCs and stable coins provide a foundation for this effort.
- 5. **Stress Testing Stable Coins:**
 - Stress testing stable coins to account for the agentic e-commerce future is crucial.
 - Self-regulation by stable coin companies can help address potential issues like front-running, sandwiching, and chargeback fraud.

Detailed Discussion

1. **Identity Frameworks:**
 - Establishing an identity framework for AI agents was proposed as a foundational step.
 - This would involve technical solutions to create unique identifiers and regulatory policies to ensure accountability.
2. **Smart Contract Audits:**
 - Mandating smart contract audits was suggested as a way to enhance the security and reliability of AI-driven financial systems.
 - However, it was noted that despite long-standing recommendations, this requirement has not been universally adopted.
3. **Cross-Border Standards:**
 - The need for global standards in AI agent activity within digital asset markets was discussed.
 - Current progress on CBDCs and stable coins could serve as a basis for developing these standards.
4. **Stress Testing Stable Coins:**
 - Stress testing stable coins to account for the agentic e-commerce future was emphasized.
 - Self-regulation by stable coin companies was suggested as a way to proactively address potential issues like front-running, sandwiching, and chargeback fraud.

Conclusion

The session concluded with a call for Bigin to take a leadership role in addressing the regulatory and technical challenges posed by AI agents in financial applications. Key next steps include:

1. **Publishing Meeting Reports:** Each session's report will be published as soon as possible to provide input to stakeholders.
2. **Road Show and Feedback Gathering:** The report from this session will be taken on a road show to gather more feedback and engage broader audiences.
3. **Online and Physical Meetings:** Continued engagement through online meetings and the next general meeting (Block 15) in Washington, D.C., during D.C. FinTech Week.
4. **Japanese-Only Session:** A Japanese-only session will be held for further discussion led by Morita-sensei.

The session highlighted the importance of proactive regulation and collaboration to ensure responsible and secure integration of AI agents into financial systems.

Action Items and Next Steps

- **Publishing Meeting Reports:**
 - Task: Publish each session's report as soon as possible.
 - Deadline: As soon as possible.
 - Assigned to: [Not specified in the summary]
- **Road Show and Feedback Gathering:**
 - Task: Take the report from this session on a road show to gather more feedback and engage broader audiences.
 - Deadline: Ongoing.
 - Assigned to: [Not specified in the summary]
- **Online and Physical Meetings:**
 - Task: Continue engagement through online meetings.
 - Deadline: Ongoing.
 - Assigned to: [Not specified in the summary]
 - Task: Organize the next general meeting (Block 15) in Washington, D.C., during D.C. FinTech Week.
 - Deadline: Block 15 (specific date not provided).
 - Assigned to: [Not specified in the summary]
- **Japanese-Only Session:**
 - Task: Hold a Japanese-only session for further discussion led by Morita-sensei.
 - Deadline: To be determined.

- Assigned to: Morita-sensei

No other specific action items were identified during this session.

Detailed Session Summary

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Appendix: Full Meeting Transcript (Anonymized)

15.8 --> 19.8: Good afternoon, we're going to kick off this session now as it is time.

20.3 --> 25.4: So I'll ask everyone to take a seat if you're planning to stay in this room for Stablecoins.

25.4 --> 31.5: So this is the Financial Applications and Social Economics Working Group of BIGIN.

32.5 --> 38.1: And we're going to close out Block 14 with a three-part discussion today.

39.0 --> 43.5: So the first part is going to be taking a look at Stablecoin implementation from quite

43.5 --> 50.3: a practical perspective, based here on Japan's regulatory system, and we're going to have

50.3 --> 54.5: a look at what was the experience of trying to onboard US DC payments.

55.5 --> 58.5: Then we're going to have a presentation from Digital Garage.

59.3 --> 65.3: And then after that, I'm going to lead us in a little seminar where we're going to discuss

65.3 --> 71.4: what would it look like if AI agents were regulated for their Stablecoin payments.

71.5 --> 73.8: And that's going to be a really fun exploration.

74.0 --> 78.2: We'll get to use a bit of imagination, maybe even a little bit of role play.

78.2 --> 81.4: I'll see how energized you guys are by that point.

82.2 --> 86.7: I'm going to chair the session, and I'll be a fairly strict timekeeper.

86.9 --> 92.3: I know that there's a number of people here who also need to leave the venue to go to

92.3 --> 93.8: other events that are happening around town.

94.6 --> 96.8: So we'll keep everything at pace.

97.3 --> 104.6: So I'm just going to straightaway pass over to Professor Matsuo to introduce the initial

104.6 --> 105.9: session for this blog.

123.8 --> 124.9: Okay.

127.3 --> 134.4: I would like to start with the discussion about our

134.4 --> 135.2: experiment.

136.0 --> 145.7: At Block No. 14, we started accepting USDC Stablecoin payments for the registration fee

145.7 --> 147.7: and sponsorship fee.

148.7 --> 149.6: It's our first trial.

150.5 --> 157.7: And the purpose of the trial is, of course, to accept everyone talking about Stablecoin.

158.0 --> 158.8: So it's real.

159.1 --> 160.0: It's a new business.

160.1 --> 167.6: The current White House is very aggressive for the Stablecoin Japanese government also.

170.1 --> 182.1: So I found that most of all conferences or meetings like this don't accept Stablecoin

182.1 --> 183.1: for registration fee.

184.1 --> 188.0: They are talking about Stablecoin, but they don't use Stablecoin for their business.

188.0 --> 190.2: That is a very weird situation.

191.3 --> 194.1: So we should be the first paying for that.

195.1 --> 201.9: So after having some experiments, we can find many points to be improved for technology

201.9 --> 203.3: and operation regulation.

204.2 --> 213.6: So listing up the difficulties we experienced throughout this process should be a good input

213.6 --> 216.4: to improve technology, to improve the regulation.

217.3 --> 222.7: So we have a list, tons of lists of what JPSS should consider again.

223.5 --> 230.2: Anyway, the purpose of this experiment is listing up the difficulties we experienced.

231.2 --> 242.6: Then for the Stablecoin payment in Japan, SBIVC is the only one company, blockchain company,

242.6 --> 250.7: to make the USDC payment to JPY, Japanese yen, cash.

252.9 --> 257.3: Of course, we accept the US dollars for the registration fee, but we need to have some

257.3 --> 260.9: means to exchange US dollars to Japanese yen.

261.1 --> 269.7: This is the reason why we partnered with SBIVC for that, but we all have so many difficulties.

269.7 --> 280.8: And at first, I would like to ask SBIVC to explain what our partnership or our payment
281.4 --> 283.0: transaction looks like first.
283.8 --> 289.7: So I would like to ask them to provide their view on the difficulties, so I will add some
289.7 --> 290.7: additional thoughts.
290.8 --> 298.0: But I would like to pass my microphone to SBIVC to explain about our experiment first.
299.7 --> 302.9: Thank you so much, Masuo-sensei, for the introduction.
303.2 --> 306.4: Hi everyone, I'm Mio Yonenaga from SBIVC Trade.
306.6 --> 311.6: With me is Oyama-san, who is also working on the Stable coin business in SBIVC Trade.
312.1 --> 319.0: So as we were introduced, SBIVC Trade is only one exchange in Japan that can onramp and
319.0 --> 321.0: offramp stablecoins to Japanese yen.
321.4 --> 324.2: So we're the only licensed central exchange that can do this.
324.2 --> 332.1: And we were very pleased to work together with Big N to bring possible the stablecoin
332.8 --> 335.6: payment for the event fee.
336.1 --> 344.5: And it's one of the very first use cases we have with stablecoins or USDC.
345.3 --> 351.2: And what makes it very difficult for USDC business to scale in Japan, there are many
351.2 --> 353.2: regulations that we need to overcome.
353.9 --> 356.6: One is a 1 million JPY rule.
356.7 --> 362.8: This rule is getting very popular among the blockchain societies we have in Japan.
363.2 --> 370.5: So you cannot send more than 1 million yen worth of foreign currency stablecoins.
371.2 --> 373.9: So more than 1 million yen worth of USDC.
374.1 --> 377.9: So that's approximately about 6,400 USDC.
377.9 --> 383.1: We cannot send or buy or sell in our exchange.
383.1 --> 386.4: And also within the regulated wallets.
386.8 --> 393.7: So within companies, only 100 million JPY worth of payment per transaction is possible,
393.8 --> 394.6: which is very difficult.
395.1 --> 402.3: And another rule, which many people are not aware of, and we don't really say this, this
403.0 --> 409.0: rule is not very popular among everyone, but we cannot hold more than 100 million yen worth
409.0 --> 417.6: of foreign stablecoins, so USDC in this case, in our exchange for more than six months.
418.0 --> 420.5: And this is not very popular.
420.7 --> 427.5: But another rule we have in Japan, which makes it very difficult to grow custody within our
427.5 --> 434.7: exchange and also very hard for the companies to keep it

heir, I guess, keep their assets
435.2 --> 436.3: within our exchange.
436.3 --> 440.9: So they have to keep it in the non-custodial wallets, which is very difficult for them
440.9 --> 441.4: to keep.
442.3 --> 447.3: And also, when making payments possible, I think Watsuo-sensei worked very hard with
447.3 --> 453.4: us to do this, but we have to make sure where and from who these USDC came from.
453.5 --> 461.5: So in AML, CFD perspective, to make USDC payments possible, we actually have to make sure that
461.5 --> 466.8: we know where those money come from, which makes it very hard for retail businesses to
466.8 --> 473.2: grow because we have to make sure where those money come from and from whom they are paid.
473.3 --> 479.6: And only we can pay 100 million yen maximum worth of USDC maximums, which is very hard.
480.4 --> 487.1: And right now, BusyTrade is working on, along with our whole group, SBI group, to issue
487.1 --> 492.5: a stablecoin of JPY, JPY stablecoin also, which doesn't have the 100 million regulation
492.5 --> 499.6: rule, but among the foreign stablecoins, which is, I think there are many needs by people
500.5 --> 507.0: outside Japan to put a payment in Japan, are still under those regulations.
507.3 --> 508.6: So there are limited use case.
508.8 --> 513.9: So we are very pleased to have this use case of a payment of the event fee in USDC.
513.9 --> 517.2: Do you have anything to add on, Oyo-san?
521.2 --> 524.7: Maybe I just have one question for your audience.
524.8 --> 529.1: How many people did you pay with USDC to participate in this event?
530.8 --> 531.9: Oh, just one person.
532.0 --> 532.2: Okay.
533.9 --> 535.1: Maybe we can discuss it.
536.6 --> 537.2: Okay.
537.5 --> 537.6: Yeah.
537.6 --> 543.6: One is that people do not have USDC, so that's kind of like one rule book.
544.1 --> 550.8: And actually, so as Mio-san said, one is money transmission, and also we cannot approve several
550.8 --> 554.2: months for that due to the regulations.
554.4 --> 561.9: And also, the MLHFT perspective, we need to check every wallet who is sending the money.
562.3 --> 565.4: So that's the kind of responsibility of the exchange.
565.4 --> 576.1: So that's kind of a bit difficult for the payment to get the money from unknown persons.

576.4 --> 577.8: So that's kind of a roadblock.
578.0 --> 585.5: So that's why we set up this kind of a scheme with accepting the USDC.
585.8 --> 589.1: So if you have any questions, please let us know.
591.1 --> 591.4: Okay.
591.5 --> 593.4: I guess I'll pass back to Madam Ikeda.
596.5 --> 597.2: The...
603.9 --> 611.0: The one million rule and the rule of sending money and also keeping money in custody.
611.6 --> 612.8: That's the...
613.4 --> 613.9: Yes.
613.9 --> 614.0: Yes.
623.2 --> 625.8: And also AML-CFT, I guess.
628.2 --> 629.7: That's the last one.
630.3 --> 641.1: And also, you cannot keep 100 million JPY worth of USDC in the exchange, in the custodial wallet.
641.1 --> 644.7: So I don't think I had anything in between those, I guess.
651.1 --> 651.7: Yes.
651.8 --> 653.0: Like our exchanges.
657.9 --> 658.5: Yes.
660.7 --> 667.7: So yes, we have to sort of keep selling or keeping outside, keeping them to go outside the exchange,
667.7 --> 674.2: which is kind of very difficult because if it keeps coming in and in, you know, you have to do it over and over.
676.4 --> 676.9: Okay.
677.1 --> 678.9: If there's any other questions.
679.5 --> 679.9: Yes, please.
689.4 --> 689.9: Yes.
704.0 --> 704.7: Yes.
719.9 --> 726.1: In that case, we change it back to Japanese, yes, in our exchange, yes.
727.7 --> 730.0: Which is not very happy for many of the users.
730.1 --> 738.5: So we actually remind our users every now and then after several month passes, after they hold over one million JPY.
740.9 --> 743.0: We are making phone calls, yeah.
745.5 --> 746.0: Okay.
746.7 --> 747.2: Yes, please.
759.8 --> 760.3: Yes.
773.9 --> 783.9: The question I have is, if people are transacting excess amount where they're not allowed to have more than they can, are you able to credit it back to them?
783.9 --> 787.8: So in the future, they don't have to charge or try again.
788.0 --> 792.6: They can just have it ready to go and then to, you can do that.
793.3 --> 793.4: Cool.

801.2 --> 803.5: Is there anyone else with any questions?
806.3 --> 808.0: Okay, thank you everyone for asking.
808.1 --> 809.7: I'll pass the mic back to Mr.
809.7 --> 816.8: I would like to add more detail what the difficulties I experienced.
817.6 --> 820.8: So number one is the opening account at SBI VC.
821.8 --> 828.2: So we try to open account, the Japanese non-profit BN.
828.2 --> 833.6: So BN is a Japanese non-profit to support BGIN activities.
834.2 --> 839.2: It's a financial support for the management of IPL.
839.6 --> 844.8: So we have the Japanese non-profit, so I try to open account at SBI VC.
848.2 --> 854.2: One of the difficulties, the head of BN is me.
854.7 --> 855.9: I live in United States.
855.9 --> 857.8: I'm non-resident in Japan.
858.5 --> 865.8: It may add two or three more weeks for the email or KYC thing.
866.5 --> 869.0: It tremendously delay the open account.
870.2 --> 878.3: So I understand what happened, but so we took over one month to open account.
879.4 --> 883.0: That is one of the difficulty that I experienced.
883.0 --> 888.9: The second one is what she already said about the purpose of transaction.
889.8 --> 894.8: So if you click the button on the US payment for the registration fee,
895.4 --> 899.9: so we use that coinbase commerce system.
900.5 --> 903.9: It requests the input, your name, email address,
904.6 --> 909.4: and physical address or something like that for KYC purpose.
909.4 --> 912.2: That's fine, but they don't have that.
912.4 --> 916.0: So the input window for the purpose of transmission.
917.1 --> 920.6: It's a problem of the coinbase commerce services,
920.8 --> 930.4: but it's a required area for the input for the cross-border payment.
931.6 --> 933.2: It's a coinbase problem.
933.7 --> 935.1: They need to improve it.
936.1 --> 940.1: The third one is a complicated situation.
940.9 --> 941.9: The stablecoin sale.
942.3 --> 945.7: It's the issue of the entire stablecoin.
946.8 --> 951.8: Each USDC is associated with their own chain.
951.9 --> 955.9: USDC on Ethereum, USDC on BASE, or USDC on something.
957.2 --> 959.1: The name of the USDC is the same,
959.1 --> 964.9: but they are very different currency or different money
964.9 --> 968.4: from the different nations or something like that.
970.8 --> 974.5: SBAVC accepts only USDC on Ethereum.
975.0 --> 980.7: This is the reason why we request that payment should be USDC on Ethereum.

982.0 --> 985.1: He tried to make a payment,
986.1 --> 989.4: but he misunderstood that concept.
989.8 --> 991.4: He didn't know about that,
991.6 --> 997.4: so the stablecoin is associated with the BASE layer on
blockchain.
1000.1 --> 1004.4: He sent me that USDC on another blockchain protocol.
1005.0 --> 1006.0: We accept it.
1006.7 --> 1015.7: But we cannot make the USJPY through SBAVC.
1015.9 --> 1016.8: That is a problem.
1017.8 --> 1019.5: We need to deal with some issue.
1020.5 --> 1021.4: That is another thing.
1022.1 --> 1028.8: That illustrates that understanding stablecoin is ver
y difficult to average people.
1029.3 --> 1030.3: He is my student.
1031.4 --> 1035.3: He knows blockchain a lot,
1035.3 --> 1042.3: but even he made that mistake.
1043.0 --> 1045.4: I guess that for average people,
1046.1 --> 1049.6: that is the source of tons of confusion.
1051.1 --> 1052.7: So this is what I expressed.
1053.0 --> 1053.8: Anything else?
1056.6 --> 1058.3: For this part, there is no...
1060.2 --> 1062.2: Yeah, that is another thing.
1062.2 --> 1066.3: In United States, I cannot purchase USDC by credit ca
rd.
1068.1 --> 1070.2: The only way I purchase...
1071.3 --> 1078.0: It is not easy to purchase by using bank transfer as
well,
1078.3 --> 1080.7: for the AML KYC purpose.
1081.2 --> 1085.0: The only way I can instantly purchase USDC
1085.0 --> 1089.0: is by purchasing through PayPal.
1089.9 --> 1095.0: I have some connection to my Chase account through Pa
yPal.
1095.9 --> 1098.0: It is an ACH payment.
1100.2 --> 1104.6: The only way to purchase instantly USDC is using PayP
al.
1105.3 --> 1107.8: As a middleman,
1108.2 --> 1111.4: then use ACH payment through Chase.
1112.6 --> 1117.1: It is very difficult to purchase USDC at this moment.
1119.0 --> 1122.5: I guess that average people cannot do it.
1124.1 --> 1128.0: The White House pushes stablecoin.
1128.2 --> 1129.7: The Japanese government pushes stablecoin.
1130.2 --> 1131.6: There are many difficulties.
1132.0 --> 1134.5: We have a great list of difficulties.
1136.0 --> 1138.3: It is a technology problem, a service problem,
1138.5 --> 1140.7: a management problem, or a regulation problem.
1143.5 --> 1146.0: After the Data Garage presentation,
1146.0 --> 1149.5: we will discuss what are the difficulties here

1149.5 --> 1151.6: and what should be improved
1151.6 --> 1153.8: from the technology or regulation point of view.
1154.1 --> 1156.3: Anyway, that is my additional words.
1157.5 --> 1158.3: Any questions?
1165.9 --> 1170.3: I feel very embarrassed because Dr. Matsuo said
1170.3 --> 1173.5: I am working with Dr. Matsuo.
1174.5 --> 1178.0: I want to share my experience that I had
1178.0 --> 1182.9: when it comes to the payment stablecoin.
1184.5 --> 1189.5: When I pay stablecoin as a registration fee,
1190.3 --> 1195.5: I went to the Coinbase commerce site.
1196.2 --> 1201.5: Then I connected my Coinbase custodial wallet.
1201.5 --> 1209.9: All I could do was to push the payment button.
1210.7 --> 1220.3: As a result, my payment was on Polygon,
1220.5 --> 1221.7: not on Ethereum.
1225.0 --> 1228.9: What I want to say is that I do believe
1228.9 --> 1230.7: that it is not my fault.
1231.7 --> 1237.0: It is just Coinbase commerce fault.
1238.9 --> 1240.3: My question is that
1241.5 --> 1249.5: is it possible to choose the chain
1249.5 --> 1253.8: by Coinbase commerce automatically?
1254.8 --> 1256.8: Like I said,
1257.5 --> 1262.1: all I could do was to push the payment button.
1263.4 --> 1270.3: I don't know why my payment was on Polygon,
1270.5 --> 1271.2: not Ethereum.
1271.8 --> 1275.4: I didn't choose the on-chain.
1279.9 --> 1283.9: Does anyone have a comment about that?
1296.3 --> 1300.0: I have been accepting USDC stablecoins
1300.0 --> 1303.3: for about 4-5 years for services.
1305.4 --> 1308.0: I have experienced that problem as well
1308.0 --> 1309.3: with Coinbase commerce,
1309.5 --> 1311.8: where the settings are a particular thing.
1314.7 --> 1318.5: It defaults to what costs the least
1318.5 --> 1319.8: in transaction fees.
1322.2 --> 1324.7: Polygon is the cheapest chain at the moment
1324.7 --> 1325.9: for transaction fees.
1326.8 --> 1329.3: It routed that way for that reason.
1330.5 --> 1331.9: There have been plenty of times
1331.9 --> 1333.3: where I have been paid on Polygon,
1333.3 --> 1335.6: on Base, on a few different networks.
1335.8 --> 1338.3: Then it is my responsibility
1338.8 --> 1342.7: to swap it to the chain that makes most sense
1342.7 --> 1345.2: for me to store the USDC.
1346.6 --> 1349.1: That is how I would answer that question.
1355.3 --> 1358.8: I am glad I waited for you to start
1358.8 --> 1361.7: because my question was going to be
1361.7 --> 1364.5: and either of you can give me your experiences.
1365.5 --> 1369.8: With this hyper-efficient, new, fancy fintech,

1370.8 --> 1372.1: save the world,
1372.8 --> 1375.7: how much did these transactions cost?
1376.9 --> 1378.2: What kind of percentage?
1380.0 --> 1381.8: I remember back in 2019,
1382.8 --> 1389.0: it was like 8-9% to get dollars into Bitcoin.
1389.0 --> 1392.0: What is it to get dollars into dollars now?
1392.1 --> 1393.5: What does that cost?
1395.0 --> 1396.6: If you are on the wrong chain,
1396.7 --> 1398.1: what does it cost to get on the right chain?
1402.0 --> 1403.6: You did not make him pay for it?
1404.1 --> 1408.2: I am doing really inefficient stable coin payments.
1408.7 --> 1410.0: I am a dinosaur.
1410.2 --> 1411.9: I am still using ETH main chain.
1413.6 --> 1416.7: For me, it is costing about 1%, I would say,
1417.7 --> 1420.5: which is competitive to my alternatives.
1427.5 --> 1430.2: For people in our radio audience,
1430.4 --> 1432.0: you are on the radio,
1432.1 --> 1433.8: so 5% with this.
1435.8 --> 1438.7: Of course, the difference is we as consumers
1438.7 --> 1441.3: are paying that 1%, not the merchant.
1441.3 --> 1441.9: Yeah.
1446.1 --> 1450.5: I will cut this little segue off.
1451.5 --> 1454.5: Joey, if you want to keep your comment to 20 seconds,
1454.6 --> 1456.6: because we veered away from the agenda,
1456.7 --> 1458.8: and I do want to give Digital Garage a chance
1458.8 --> 1459.8: to give their presentation.
1460.1 --> 1460.3: Absolutely.
1460.7 --> 1464.2: Really briefly, the payments for any USDC
1464.2 --> 1466.2: or any kind of stable coin-based payment
1466.2 --> 1469.3: is going to radically reduce over the next three year
s
1469.3 --> 1471.3: because most stable coin companies
1471.3 --> 1474.3: are moving towards MPC-based methods
1474.3 --> 1476.6: of maintaining multiple liquidity
1477.8 --> 1479.2: across multiple chains.
1479.8 --> 1481.5: For you as a user, your experience
1481.5 --> 1483.5: will decrease in your timing
1483.5 --> 1485.3: for the bridging or the wrapping
1485.3 --> 1486.6: or whatever else is going to happen
1487.2 --> 1488.9: because they are going to do it on their end,
1489.0 --> 1490.8: and their experience will have different liquidity
1490.8 --> 1491.7: on the other end.
1491.9 --> 1494.3: If your destination is going to be Polygon or Etheru
m,
1495.2 --> 1497.0: they will have liquidity available on that,
1497.0 --> 1498.5: even if your transaction is elsewhere,
1499.2 --> 1500.7: so then you can ensure yourself

1500.7 --> 1503.0: that the transaction is fast, it is cheap,
1503.2 --> 1505.7: and as well, it solves any liquidity gaps
1505.7 --> 1506.8: that may exist on other chains.
1508.2 --> 1509.9: It's not really about what is expensive today,
1510.0 --> 1511.2: unless you're transacting a lot,
1511.4 --> 1512.8: but in the future, it's going to be radically.
1513.0 --> 1513.9: You won't even feel it.
1516.5 --> 1518.1: It will be like banking, but faster.
1519.5 --> 1521.3: Professor Matsuura, is there anything else
1521.3 --> 1523.2: that you wanted to say
1523.2 --> 1525.5: before we close off this agenda item
1525.5 --> 1527.7: and move on to Digital Garage?
1528.4 --> 1529.1: We'll move on.
1530.1 --> 1531.3: Okay, thank you very much.
1536.5 --> 1539.5: To our friends from Digital Garage,
1540.2 --> 1542.3: you have the floor now
1542.3 --> 1544.5: for about 25 minutes.
1548.4 --> 1549.9: And thank you to Mitchell
1549.9 --> 1552.2: for stepping in as Coinbase customer support today.
1556.7 --> 1559.7: Can you permit the screen sharing?
1578.5 --> 1579.5: Here you go.
1580.4 --> 1582.4: Hi everyone, I'm Shunichi Kimura.
1582.5 --> 1584.5: I'm head of Web3 at Digital Garage.
1584.5 --> 1588.4: Obviously, we provided this office building
1588.4 --> 1589.8: for this conference today.
1590.5 --> 1593.1: Thank you for inviting us, Professor Matsuo.
1594.3 --> 1596.9: So today, we would like to share
1596.9 --> 1600.4: some of the experience of stablecoin payment.
1601.2 --> 1604.0: We conducted it with a minor wallet.
1605.8 --> 1609.6: Today, we have CPO Shindo-san here.
1610.0 --> 1613.3: So he will explain other stablecoin use cases
1613.3 --> 1614.9: with our POC today,
1615.6 --> 1616.9: later after my presentation.
1618.8 --> 1621.5: So a little bit about Digital Garage.
1622.3 --> 1625.7: We offer a payment service provider.
1626.4 --> 1629.3: So obviously, the stablecoin is, you know,
1629.6 --> 1633.3: something we need to deal with within a year or so.
1634.0 --> 1637.6: Also, we have a crypto garage
1638.3 --> 1640.6: on the left below.
1640.6 --> 1643.5: Also, we offer the crypto custody service
1643.5 --> 1645.1: for the enterprise client.
1645.3 --> 1647.3: Client include companies like
1647.3 --> 1649.2: digital asset treasury companies.
1649.9 --> 1653.9: So eventually, we want to support stablecoin
1653.9 --> 1657.0: for the Japanese enterprise as well.
1658.0 --> 1662.4: So today's topic is more focused on stablecoin paymen
t.

1663.1 --> 1666.9: Because we have more than one million merchants in Japan.

1666.9 --> 1670.2: So our adoption will be a good exit

1670.2 --> 1672.7: for the stablecoin holder users.

1674.1 --> 1676.4: We know there's still, you know,

1676.7 --> 1679.9: we need more people holding stablecoin in Japan.

1680.6 --> 1684.1: But I think our mission,

1684.7 --> 1686.5: something we need to do is,

1686.6 --> 1688.6: we have a way to use it.

1688.8 --> 1691.2: So we want to work on this POC.

1691.2 --> 1697.9: So basically, we did miners, you know,

1698.5 --> 1700.2: with the miners support,

1700.5 --> 1704.5: we did a stablecoin payment pilot at a cafe

1704.5 --> 1706.3: called Pange Cafe,

1706.6 --> 1709.2: which is located actually 10th floor of this building.

1710.1 --> 1714.8: We accept USDC and JPIC install payment.

1715.8 --> 1718.9: And this pilot is mainly, you know,

1718.9 --> 1721.7: the technology-wise and the regulation frame-wise

1721.7 --> 1723.1: supported by miner wallet.

1724.4 --> 1729.3: I think Shindo-san will explain later about more details.

1730.1 --> 1733.3: Also, you know, JCB and Risen Holdings,

1733.6 --> 1735.9: JCB is one of the largest credit card company

1735.9 --> 1739.3: and Risen is the largest, you know, banking company,

1739.8 --> 1742.8: joined this pilot to evaluate, you know,

1743.1 --> 1747.6: how they can integrate in the future for stablecoin.

1748.9 --> 1753.0: So roughly, we handled more than 100 transactions.

1753.7 --> 1756.2: And, you know, this is a detail,

1756.4 --> 1760.1: but around half transaction JPIC

1760.9 --> 1762.7: and the other half was USDC.

1763.3 --> 1765.8: That was a little bit surprise for us,

1765.9 --> 1768.8: but we see there's a lot of inbound, you know,

1768.9 --> 1771.0: tourists coming to this Parco building

1771.0 --> 1774.5: and, you know, they can somehow, you know,

1774.6 --> 1776.7: stop by our Pange Cafe

1776.7 --> 1779.9: and seems like they're using the USDC payment.

1780.5 --> 1782.2: That was a good, good, you know,

1782.4 --> 1786.6: signal we got through this DOC.

1787.3 --> 1788.2: So this is overview.

1789.5 --> 1791.7: Basically, the miner wallet is actually,

1792.7 --> 1795.0: detail is explained by Shindo-san,

1795.0 --> 1799.7: but miner barcode-related wallet.

1800.5 --> 1803.1: So it's kind of KYC-hosted wallet.

1803.8 --> 1805.5: And we also support BaseApp

1805.5 --> 1807.8: and we also support other wallets

1807.8 --> 1809.5: through the wallet connect.

1810.4 --> 1813.2: And merchant basically, you know,

1813.3 --> 1815.8: receive the payment and give back the coffee.
1816.2 --> 1817.4: Basically, that's the structure,
1817.6 --> 1819.0: but behind that, you know,
1819.0 --> 1821.8: miner pay provide a QR code payment
1821.8 --> 1823.8: and gas sponsor transactions.
1824.4 --> 1828.3: And also the regulation framework that we do in this
POC.
1829.5 --> 1830.8: So simple one, yeah?
1831.9 --> 1834.4: So this is, you know, kind of like
1834.4 --> 1839.4: high-level summary or challenges we find,
1840.2 --> 1843.2: but this is only DG's point of view.
1844.0 --> 1846.3: We are still, you know, doing POC now.
1846.8 --> 1849.2: And also it concludes broader perspective
1849.2 --> 1853.4: for the future large-scale implementations for stable
coin.
1854.5 --> 1856.2: So for the merchant side, you know,
1856.2 --> 1857.8: because there's a lot of, you know,
1858.0 --> 1859.9: payment method in Japan,
1860.4 --> 1862.7: the operator seems to be easily
1862.7 --> 1864.8: supporting stablecoin payment.
1865.6 --> 1867.4: Those apps are provided miner wallet,
1867.8 --> 1869.6: so it's simple for the merchant side.
1870.2 --> 1871.8: I don't see any negative feedback
1871.8 --> 1873.9: coming from the stores.
1874.9 --> 1878.1: For user side, even though I think
1878.1 --> 1880.8: most people have experience using wallet,
1882.7 --> 1885.3: you know, sometimes we need to, you know,
1885.5 --> 1887.8: authenticate several times or, you know,
1887.9 --> 1890.3: compared with the traditional payment method,
1890.3 --> 1893.5: you know, seems like there's more to do
1893.5 --> 1895.5: before the transactions go.
1897.4 --> 1900.9: And also the privacy side, you know,
1901.6 --> 1905.0: we see, you know, who paid on the blockchain,
1905.3 --> 1909.0: so the publicly-visible transaction history
1909.0 --> 1913.5: would be somehow challenging in the future,
1913.7 --> 1915.8: so there would be some way to mitigate
1915.8 --> 1918.0: or something like that.
1918.9 --> 1920.6: Also the merchant side,
1921.5 --> 1924.0: there's privacy, business privacy issues
1924.0 --> 1926.3: because they expose somehow revenues.
1926.6 --> 1929.8: We all, you know, find out how much we are,
1930.1 --> 1934.3: you know, making at the Pangea Cafe.
1935.3 --> 1938.4: So there actually is a mechanism
1938.4 --> 1941.0: like Stripes providing
1941.0 --> 1943.3: to create one-time address
1943.3 --> 1945.0: for transactions or something like that,
1945.5 --> 1947.0: so I think we need to take care

1947.0 --> 1949.1: of the business side privacy as well.
1949.9 --> 1951.2: That's the privacy side.
1952.8 --> 1954.6: So for the compliance side,
1956.0 --> 1960.3: so I think it's easier for the large company
1960.3 --> 1963.0: like, you know, us or our partner JCB
1963.0 --> 1965.2: to, you know, work with only accept
1965.2 --> 1970.1: the KYC wallet, but it will, you know,
1971.3 --> 1973.4: it's impossible because this is another
1973.4 --> 1975.1: non-KYC wallet around there,
1975.1 --> 1977.6: like base wallet or people, you know,
1977.6 --> 1979.8: different holding, you know,
1980.0 --> 1984.1: relative asset on a non-KYC wallet,
1984.3 --> 1987.1: so how much faster we should do the KYC
1987.1 --> 1992.5: of the user, but also we are a little bit,
1992.7 --> 1997.8: you know, we need to do something
1997.8 --> 2000.4: for the real-time KYT
2001.5 --> 2005.7: because we run crypto exchange in Japan,
2005.9 --> 2008.1: but we don't want to do,
2009.2 --> 2011.4: we don't want to screen every single
2011.4 --> 2014.8: small transactions coming to the merchant,
2015.6 --> 2017.1: so I think the question would be
2017.1 --> 2019.4: how much faster we should, you know,
2019.5 --> 2020.8: screen the transactions,
2021.6 --> 2024.5: and maybe there could be a solution to,
2024.6 --> 2028.2: you know, somehow near real-time KYT,
2028.2 --> 2029.9: APL, something like that,
2030.4 --> 2032.3: but I think KYC effort could drastically
2032.3 --> 2034.2: slow down the payment speed.
2035.1 --> 2037.3: I think that's the trade-off I see
2037.3 --> 2041.7: in through this, you know,
2041.7 --> 2043.5: when we look at the first large-scale
2043.5 --> 2044.1: implementation.
2046.5 --> 2048.9: Also, we are, you know,
2049.1 --> 2051.4: writing down the detail, but for the
2051.4 --> 2053.3: large-scale deployment, you know,
2053.3 --> 2057.0: we need to work with some licensing issue,
2057.0 --> 2060.2: you know, who will be the license holder,
2060.6 --> 2062.6: is that JCB or Digital Garage or,
2062.7 --> 2064.1: you know, something like that,
2064.1 --> 2065.4: so we are under discussion.
2066.4 --> 2068.6: And finally, the technology perspective,
2069.5 --> 2072.0: so for the wallet architecture,
2073.0 --> 2075.0: it would be some challenging topics
2075.5 --> 2079.4: because, you know, like direct deposit
2079.4 --> 2081.9: to the licensed wallet like exchange
2081.9 --> 2084.1: are difficult for the small transaction
2084.1 --> 2086.1: payment because they need to screen

2086.1 --> 2087.8: every transaction they have,
2088.3 --> 2091.2: so somehow they need self-custody wallet
2092.1 --> 2095.4: and how we integrate the exchanging function,
2095.6 --> 2097.2: so that could be more hybrid
2098.3 --> 2099.8: or proxy architecture,
2100.1 --> 2101.8: so that's something, you know,
2101.8 --> 2103.9: we need to find the best architecture.
2105.6 --> 2107.2: And lastly, gas fee.
2107.8 --> 2111.6: Actually, gas fee for this POC was,
2111.7 --> 2115.8: you know, about tens of BPS to several percent,
2115.8 --> 2120.0: depending on payment amount and,
2120.1 --> 2122.2: you know, and the chain and the timing,
2122.9 --> 2126.7: so the fee would be very low somehow,
2126.9 --> 2130.1: but in terms of payment operator,
2130.5 --> 2132.7: the fee is just a cost,
2133.5 --> 2136.9: so, you know, adding the service like KYC
2136.9 --> 2139.4: or exchanging function in the future,
2139.7 --> 2142.6: you know, we don't know how much charge
2142.6 --> 2146.4: for the, you know, stable coin payment services,
2146.9 --> 2151.0: so that's our, you know, the finding so far.
2152.5 --> 2156.5: And for, so I'd like to pass on to the CPO
2156.5 --> 2159.0: of the Shindosan,
2159.8 --> 2163.4: he will explain the miner wallet
2163.4 --> 2165.7: and several other POCs as well.
2172.1 --> 2176.3: Hi, I'm Shindo, the CPO of the miner wallet.
2177.1 --> 2179.6: Today, I'm going to speak in Japanese,
2180.0 --> 2182.0: so I ask Mr. Kiyohara to translate for me.
2182.3 --> 2182.5: Thank you.
2184.2 --> 2187.4: So I'll be translating what he will say,
2188.2 --> 2191.0: so he's Shindo-san, CPO of miner wallet.
2231.2 --> 2232.6: Hi, I'm Shindo-san,
2238.1 --> 2239.5: I'm Shindo-san,
2239.5 --> 2241.8: So, the miner wallet is,
2241.8 --> 2245.6: it's a Japanese government issued
2245.6 --> 2247.7: my number card,
2249.6 --> 2257.2: and this wallet is for the self-custodial
2257.2 --> 2259.3: account obstruction
2259.3 --> 2260.5: that KYC can do
2260.5 --> 2267.0: At Minor Wallet Co., Ltd., we develop the Minor Wallet and its surrounding services.
2269.0 --> 2273.3: In 2025, as a platform operator of JPKI, a high-performance personal identification service,
2276.5 --> 2278.5: we will officially acquire Shumudaijin Nintei.
2290.5 --> 2296.7: What's unique about it is it's a KYC-enabled non-hosted wallet.
2297.0 --> 2302.2: What that means is in Japan we have something like a social security card,

2303.0 --> 2305.6: what we call a MyNumber card in Japan.
2305.8 --> 2314.3: Basically, every Japanese has its unique MyNumber card to each citizen.
2314.3 --> 2322.7: And this company utilizes that to create an e-KYC wallet
2322.7 --> 2329.0: through the Japanese government standard protocol called JPKI.
2337.6 --> 2341.4: We have a number of BOCs.
2343.9 --> 2349.3: In January, we held a match with the Fukuoka Pro Basketball Team
2350.3 --> 2355.7: where we used JPYC, a stablecoin, to test the MyNumber card.
2361.0 --> 2376.2: Currently, we are testing JPYC and USDC, a stablecoin,
2377.2 --> 2382.1: As a wallet operator, we implement a number of BOCs
2382.1 --> 2383.7: to test and improve the wallet's UX.
2406.2 --> 2412.0: They just did a BOC using a physical MyNumber card
2412.0 --> 2416.7: to enable tap-to-pay transactions
2416.7 --> 2422.7: at one of the professional basketball team's venues in Fukuoka.
2424.7 --> 2429.9: Instead of using your wallet application on your mobile,
2430.9 --> 2439.9: because the physical MyNumber card and the wallet are connected,
2440.2 --> 2442.6: without the mobile phone application,
2442.8 --> 2447.5: they can enable payment using the actual card,
2447.9 --> 2450.0: and the payment is done.
2450.7 --> 2456.8: The second example is a BOC that's been doing
2456.8 --> 2459.8: at the 10th floor with Digital Collage.
2462.3 --> 2466.4: They have another product which is called MynaPay
2466.4 --> 2470.2: and that enables QR code payments.
2471.4 --> 2479.1: So users will just have to scan the store's provided QR code
2479.8 --> 2483.7: and they can pay stablecoin from their wallet,
2483.7 --> 2490.9: which is this time BaseApp, MetaMask, and their Myna wallet.
2496.8 --> 2499.7: From our point of view,
2502.7 --> 2506.8: there are many hurdles for users to get stablecoins.
2512.4 --> 2515.3: For example, understanding how to onboard the wallet,
2515.3 --> 2522.0: understanding how to use the blockchain network,
2522.7 --> 2524.9: and the patterns of mistake in the blockchain.
2529.7 --> 2534.0: Also, getting native tokens to cover the gas bill
2536.1 --> 2538.2: is quite difficult for general users.
2538.2 --> 2540.6: It is also difficult to implement the UX
2540.6 --> 2542.8: that absorbs such complexity.
2573.5 --> 2577.5: People with crypto experience can easily pay with stablecoins,
2577.7 --> 2580.4: but for the POC, there are general publics

2580.4 --> 2583.1: who are genuinely interested in stablecoin payment,
2583.8 --> 2589.6: but they didn't really know how to onlamp stablecoins
to their wallet.
2590.2 --> 2596.2: Even they successfully onlamped their stablecoins,
2596.2 --> 2598.7: however, sometimes they made a mistake.
2599.7 --> 2604.5: For example, this POC, we only accepted JPYC on Polyg
on
2604.5 --> 2611.1: and USDC on Base, but some users deposited JPYC on Av
alanche.
2611.7 --> 2617.2: So a problem like this, it's hard for users to really
know
2617.2 --> 2620.4: that there are many kinds of blockchains
2620.4 --> 2623.8: and how to differentiate them.
2624.8 --> 2628.7: Although this time, this POC at the 10th floor
2628.7 --> 2635.3: did the gas-fee-sponsored models,
2635.5 --> 2640.0: however, to acquire stablecoins,
2640.4 --> 2644.6: they have to have a gas fee.
2645.2 --> 2650.8: So there are challenges to get issues
2650.8 --> 2654.4: to obtain native tokens to cover gas fee.
2655.0 --> 2659.6: It was one that lies from this POC.
2665.8 --> 2672.0: But to make the whole experience simple on their end
2672.0 --> 2674.4: could require some legal clearance.
2676.4 --> 2685.2: So simplicity, even though they want to make user exp
erience simple,
2685.7 --> 2690.7: however, that simplicity requires a lot of legal clea
rance.
2691.0 --> 2695.3: So that's one that they really have to work on from n
ow on.
2698.1 --> 2703.6: Also, in this QRCode payment experiment,
2704.3 --> 2708.2: there was a sale of tens of thousands of yen in 5 day
s.
2709.4 --> 2711.8: If you think about it,
2714.3 --> 2716.1: JPYC now has a limit of 1 million yen,
2717.3 --> 2725.2: so you need to clear the regulation
2725.2 --> 2725.8: in order to make it a reasonable model.
2761.2 --> 2764.5: Also, I think the privacy of the transaction will be
a problem.
2766.8 --> 2769.1: In the future, we hope that
2771.5 --> 2775.6: the compliance will be maintained
2775.6 --> 2778.8: and users will be able to use the service more smooth
ly
2778.8 --> 2779.2: by implementing regulations on KYC-certified wallets.
2785.2 --> 2788.0: There will be a mechanism where privacy is ensured
2788.0 --> 2790.0: in the stable coin payments.
2793.4 --> 2798.5: Also, they hope to see a framework
2798.5 --> 2806.1: where KYC-verified wallets can have better user exper
ience

2806.1 --> 2809.5: compared to other non-KYC wallets.
2812.2 --> 2813.7: That's it from DGN Miner.
2813.7 --> 2815.6: Can I take two minutes?
2816.9 --> 2817.1: Okay.
2817.8 --> 2825.1: Today, I tried to use that POC service for our coffee payments.
2825.6 --> 2827.5: Today's coffee is provided by Pangea Cafe,
2828.8 --> 2833.9: and it's about 250 USD equivalent.
2834.7 --> 2837.8: Then, I tried to do the payment.
2839.0 --> 2839.8: Give me a second.
2847.1 --> 2855.6: At first, I tried to use their base wallet,
2856.4 --> 2860.1: but I think that technology program or the base wallet,
2861.0 --> 2862.9: it's a program of the Coinbase.
2863.9 --> 2873.6: But my base wallet is associated to the other wallet address.
2874.3 --> 2877.6: That payment using base wallet failed.
2878.4 --> 2885.1: I tried to move my USDC coin stored in my base wallet
2885.1 --> 2885.8: to the MetaMask,
2885.8 --> 2891.6: and I tried again using the MetaMask wallet.
2894.8 --> 2895.1: Okay.
2896.7 --> 2898.3: That is what we did.
2898.4 --> 2903.9: Using the QR code to move to the merchant page,
2904.2 --> 2906.6: then choose a MetaMask wallet.
2908.5 --> 2909.0: Then,
2911.5 --> 2913.0: there are many buttons.
2913.0 --> 2916.4: Then, choose a wallet.
2919.0 --> 2920.9: Confirm a wallet to use.
2927.6 --> 2930.2: Then, confirm the payment.
2931.8 --> 2932.4: Confirm again.
2936.0 --> 2936.6: Yeah, complete.
2937.3 --> 2939.1: That is what I did.
2939.1 --> 2947.9: I think that 250 USD is the highest value during that payment.
2948.2 --> 2953.3: Anyway, thank you very much for sharing your thoughts.
2955.5 --> 2956.3: The...
2959.0 --> 2959.8: Yeah.
2968.0 --> 2969.7: Anyway, that, you know,
2970.3 --> 2975.3: I think that the problem shared with other minor wallet person
2975.8 --> 2979.0: is a common problem we pointed out.
2979.0 --> 2982.0: But, you know, I think I...
2983.5 --> 2986.3: It's good to know that everyone has the same problem,
2986.6 --> 2989.0: but it's a great finding,
2990.0 --> 2994.8: so we can improve the future from technology point of view
2994.8 --> 2995.8: or regulation point of view.

2995.8 --> 2996.7: Thank you very much.
2996.9 --> 2999.4: I will return my microphone to...
2999.4 --> 3000.2: Thank you.
3000.4 --> 3000.7: Great.
3001.2 --> 3002.9: Thank you very much for the presentation.
3007.9 --> 3011.5: We're going to wrap up the Stablecoin session today
3011.5 --> 3014.1: with a fun exploration
3014.1 --> 3018.9: of how AI agents could be Basel compliant.
3020.2 --> 3025.3: I've created a little bit of a tongue-in-cheek risk m
atrix
3025.3 --> 3027.8: for us to pull apart together,
3028.1 --> 3032.3: but this could potentially become a more serious exer
cise
3032.3 --> 3034.3: if we want it to be.
3034.4 --> 3037.2: And based on how this discussion goes today,
3037.2 --> 3041.9: we can evaluate if that's a worthwhile thing to do or
not.
3043.3 --> 3046.0: So I'll talk through this risk matrix,
3046.0 --> 3048.5: and then at the end,
3048.5 --> 3051.9: I'll give a short update about our research work stre
am
3051.9 --> 3053.6: that we're doing in the working group.
3056.3 --> 3058.8: So just to set the scene here for, like,
3058.8 --> 3063.2: why is AI a part of the Stablecoin discussion?
3063.8 --> 3065.1: So AI has been a topic
3065.1 --> 3067.4: in the financial applications working group
3067.4 --> 3070.7: for, I would say, at least a couple of years now.
3071.3 --> 3074.9: We've been doing workshops on AI for the last couple
of years.
3075.6 --> 3078.3: So this is a really, actually,
3078.4 --> 3080.8: quite a big research priority for our working group.
3081.9 --> 3086.3: And I personally feel quite a bit of conviction
3086.3 --> 3090.4: that the agentic user base
3090.4 --> 3092.5: will become the dominant user base
3092.5 --> 3095.2: for this financial product,
3095.3 --> 3097.1: which is growing rapidly
3097.1 --> 3100.5: and becoming regulated and licensable
3100.5 --> 3102.8: in major markets all around the world.
3103.1 --> 3108.8: So I don't think that Bigin can afford not to focus o
n this area.
3109.2 --> 3112.1: And that's why I wanted to have this conversation tod
ay
3112.1 --> 3114.7: about one aspect that I think
3114.7 --> 3117.6: is surprisingly under-discussed
3117.6 --> 3122.6: in all of the AI hype that we are exposed to now ever
y day.
3123.1 --> 3125.2: Something that isn't really being talked about a lot

3125.2 --> 3128.3: is this idea about how do compliance frameworks apply
3128.3 --> 3129.4: in the agentic economy
3129.4 --> 3132.1: when it comes to financial products and services.
3132.8 --> 3137.0: And so this is a really cutting-edge intersection
3137.0 --> 3139.0: of Stablecoins,
3139.1 --> 3140.5: which are already progressive
3140.5 --> 3143.5: and already still being regulated.
3143.5 --> 3146.9: And then we throw this AI grenade right into that mix
3146.9 --> 3149.5: and it just creates uncertainty on uncertainty,
3149.7 --> 3151.8: which is a really exciting place to be
3151.8 --> 3152.9: if you're a policy nerd
3152.9 --> 3155.2: and you like to think through really complex problems.
3155.4 --> 3159.5: And I'm sure I'm not alone in being excited about tha
t.
3159.8 --> 3162.5: So joining me on that challenge,
3163.4 --> 3165.9: I've just listed up on this slide here
3166.5 --> 3169.5: some potential stakeholders for us
3169.5 --> 3171.3: that we've already been talking about
3171.3 --> 3172.8: over the course of Block 14
3172.8 --> 3174.8: in the lead up to this session.
3175.8 --> 3178.7: And I just have this in the back of my mind
3178.7 --> 3181.4: and I want everyone to have this in the back of their
mind
3181.4 --> 3185.3: is these are potential policy processes
3185.8 --> 3187.0: that we can influence,
3187.3 --> 3190.0: people who we can partner with in our discourse and o
ur output.
3191.7 --> 3194.2: Obviously, transparency and multi-stakeholder dialogu
e
3194.2 --> 3196.3: is at the core of what begin values.
3197.1 --> 3201.0: And so this is just something that I want to give a n
od to
3201.0 --> 3204.1: as some context for the discussion we're about to hav
e.
3204.8 --> 3209.1: So I also wanted to put some stats and figures
3209.1 --> 3212.5: against these bold claims that I'm making
3212.5 --> 3215.6: about the importance of the agentic economy in this f
ield.
3216.1 --> 3219.6: And I looked at a few different data sources
3219.6 --> 3221.7: about what's been going on
3221.7 --> 3223.5: with stable claim transaction volume.
3224.5 --> 3228.1: The TRM labs statistics,
3228.1 --> 3231.2: I think are actually quite conservative
3231.2 --> 3233.2: compared to some of the other sources
3233.2 --> 3234.4: that are available out there.
3234.5 --> 3236.8: But even based on TRM labs,
3237.4 --> 3239.1: stable coin transaction volume

3239.1 --> 3243.2: exceeds \$1 trillion per month at this point.
3244.2 --> 3248.9: And some really interesting overlay on the agent side
3248.9 --> 3254.6: is Anthropic did some studies last year
3254.6 --> 3259.4: and found that AIs already have the ability
3259.4 --> 3262.1: to exploit smart contracts
3262.1 --> 3267.0: and to replicate on-chain crime.
3267.2 --> 3271.4: So if you're a nefarious actor with AI tools,
3271.4 --> 3276.2: then you can now get AI to do all of your criminal th
ieving for you
3276.2 --> 3278.3: and be a more efficient criminal.
3279.4 --> 3281.7: So this one report from Anthropic
3282.5 --> 3287.0: said that \$4.6 million of exploits were discovered
3287.0 --> 3290.1: by AI agents in just one study.
3291.1 --> 3294.6: And the doubling time for AI executed exploit revenue
3294.6 --> 3296.6: is every 1.3 months.
3297.3 --> 3299.5: That's pretty interesting.
3300.4 --> 3304.1: We can see though that there are AIs
3304.1 --> 3306.5: that are already making autonomous payments,
3306.7 --> 3308.2: not just in simulations.
3308.2 --> 3313.2: So in particular, Coinbase has reinvigorated
3313.2 --> 3316.8: the 402 protocol for online payments.
3317.3 --> 3319.8: And they have support from Visa.
3320.1 --> 3323.2: And this protocol has also been adopted by Stripe.
3323.4 --> 3330.7: And what we see so far is that the majority of adopti
on here
3330.7 --> 3333.8: is actually from B2B agentic transactions.
3333.8 --> 3339.8: So this is not just a retail play.
3340.1 --> 3342.3: This is also a business play as well.
3343.7 --> 3348.9: So this is really interesting to see agents autonomou
sly initiating
3348.9 --> 3352.7: and paying for things in e-commerce and on web too.
3355.4 --> 3358.4: In terms of developer interest as well,
3358.8 --> 3362.1: Stripe's AI developer toolkit is currently downloaded
3362.1 --> 3364.2: thousands of times per week.
3365.3 --> 3369.3: And we can also see that AI agents are involved
3369.3 --> 3371.9: in asset management as well.
3373.2 --> 3376.2: So in some of the biggest DeFi protocols,
3376.3 --> 3379.3: like Sky Protocol, formerly MakerDAO, for example,
3379.9 --> 3384.6: AI agents are being used to manage their stable coin
holdings.
3384.8 --> 3386.5: And there are other examples as well.
3387.3 --> 3390.4: So this is something that's already happening now.
3390.4 --> 3395.9: And this reminds me a lot of DeFi summer back in 2020.
3395.9 --> 3397.4: For those of you who remember,
3399.2 --> 3401.9: DeFi was growing at this kind of pace
3401.9 --> 3403.9: where initially regulators ignored it
3403.9 --> 3406.3: because the numbers in absolute terms were really sma

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3406.3 --> 3408.7: But if you looked at the trajectory and the momentum behind it,
3408.7 --> 3410.1: you could see where it was going.
3410.4 --> 3413.5: And on a relative scale basis,
3413.9 --> 3416.9: this to me is exactly the point in time
3416.9 --> 3419.5: where we're at for agentic transactions.
3423.0 --> 3426.7: So now we start to bring in a little bit of a risk lens
3426.7 --> 3428.5: to this development.
3428.9 --> 3433.2: So we can see that we've just mentioned autonomous payments.
3433.4 --> 3435.4: We've talked a little bit about asset management,
3435.7 --> 3437.8: given some DeFi examples,
3439.3 --> 3441.7: interaction with smart contracts, obviously,
3442.6 --> 3444.6: and cross-border settlement,
3444.6 --> 3448.3: all being examples of ways that AI agents
3448.3 --> 3450.2: are using stable coins right now.
3451.6 --> 3456.4: But let's say that we wanted to put on our regulator hat
3457.0 --> 3459.8: and think about this through a risk lens.
3462.6 --> 3467.0: You can imagine, feel free to close your eyes.
3467.1 --> 3468.7: It's four o'clock in the afternoon.
3468.9 --> 3470.2: If you want to slump in your chair
3470.2 --> 3471.8: and just use this as a little meditation,
3471.8 --> 3474.4: like think back to when you were a child
3474.4 --> 3477.5: and what you dreamed of being when you grew up.
3478.6 --> 3481.9: And then all of a sudden one day you wake up
3481.9 --> 3486.2: and all of your wildest dreams have come true
3486.2 --> 3489.2: and you are now a banking regulator.
3495.0 --> 3498.8: And you see this slide here
3498.8 --> 3501.8: that's telling you all these really exciting things
3501.8 --> 3504.4: that are happening in agentic e-commerce.
3506.3 --> 3509.7: You sitting in your ski villa in Basel
3509.7 --> 3512.8: or wherever you are, see this slide.
3513.1 --> 3516.5: And what are the first things that pop into your mind
3516.5 --> 3517.3: as a regulator?
3521.1 --> 3524.2: Do you want to expand a little bit on oh no?
3524.2 --> 3528.5: I said oh no because I'm like oh no,
3528.8 --> 3530.9: we don't know what these words mean as a regulator
3530.9 --> 3534.8: and equally seem very important to know today or tomorrow.
3535.6 --> 3538.5: No, but honestly I think as a regulator
3538.5 --> 3539.9: they'd be very interested about
3539.9 --> 3542.1: when it comes to autonomous payments,
3542.8 --> 3543.9: like okay, is it autonomous
3543.9 --> 3546.7: because the people have agreed beforehand

3546.7 --> 3549.4: or is it actually enabled in a way
3549.4 --> 3553.4: where we don't need to have paper-based agreements anymore.
3553.4 --> 3555.2: And so then where does the trail go?
3555.3 --> 3556.5: Who's accountable for those?
3557.2 --> 3559.9: Defi execution regulators are still pretty terrified
3559.9 --> 3561.5: by those two words.
3562.3 --> 3564.5: Cross-border settlements, which borders,
3565.6 --> 3567.6: who's doing the cross-border, who's doing the settlement
3567.6 --> 3570.0: and then finally a smart contract direction.
3571.1 --> 3573.3: I hope I wake up one day and you understand those words.
3576.7 --> 3579.4: Blockchain and AI reinforce each other's best
3579.4 --> 3581.4: and worst traits and the worst traits here.
3581.4 --> 3584.4: Hard-wired pro-cyclicalities with opaque governance
3585.2 --> 3587.7: and understandability, like these issues
3587.7 --> 3589.8: of delegated authority to something
3589.8 --> 3592.5: that we have a real issue on truly understanding
3592.5 --> 3595.8: in the AI energetic space
3595.8 --> 3598.4: and then with the absence of accountability
3598.4 --> 3602.5: and potential issues of injecting changes that are needed,
3602.9 --> 3606.2: like not ready for that moment.
3606.6 --> 3608.9: But I also completely agree with your premise.
3608.9 --> 3611.0: I think this is going to be the catalyst for uptick.
3613.5 --> 3614.1: Yes.
3618.1 --> 3621.5: I'm not interested in waking up and being a banking regulator.
3621.8 --> 3627.2: So I'm going to make the banking regulators even more worried
3627.2 --> 3629.7: and share something that I've been working on
3629.7 --> 3634.4: where you can actually use the user,
3634.4 --> 3639.9: like the agent identity as the entity
3639.9 --> 3642.0: that puts money into a privacy pool
3644.0 --> 3650.0: and then within the privacy pool you do X402 payments,
3650.2 --> 3653.3: which solves some of this problem that we had
3653.3 --> 3656.4: around confidentiality of merchant payments.
3657.0 --> 3659.1: So each merchant has their own privacy pool.
3659.5 --> 3662.2: In order to be allowed into the privacy pool,
3662.2 --> 3663.9: you need to have an agent identity,
3666.5 --> 3668.3: 8004 with the Ethereum standard,
3669.0 --> 3674.2: and then within the pool you do a whole bunch of X402 instant payments,
3675.1 --> 3676.8: which you can actually make super efficient
3676.8 --> 3680.4: and then the merchant can take out their payments the other side.

3681.8 --> 3685.8: So if I did wake up as a banking regulator,
3685.9 --> 3687.5: that would make me even more scared.
3689.9 --> 3690.7: Diabolical.
3693.1 --> 3696.1: Any other regulators want to chip in?
3700.6 --> 3701.8: Digital regulator?
3703.1 --> 3707.9: Has anyone here worked with risk frameworks before?
3708.0 --> 3712.2: It doesn't even have to be in finance, but just definitively Mitchell.
3713.6 --> 3716.7: Anyone else in any field, risk management?
3717.7 --> 3724.3: Yeah, so I'm really interested to think through
3724.3 --> 3727.6: how do you develop a risk management framework
3727.6 --> 3730.7: for this emerging agentic economy.
3731.4 --> 3735.7: So I've created a little stylized risk management framework here.
3737.7 --> 3742.7: I would love to have this be a discussion
3742.7 --> 3745.0: where we can pick it apart a little bit,
3747.2 --> 3750.3: because this is an illustrative example of something
3750.3 --> 3752.9: that we could actually develop in quite a serious way
3752.9 --> 3754.8: if we thought that that was valuable to do.
3755.7 --> 3761.9: So here we've got a three-tiered system of risk
3762.7 --> 3768.7: and the categories that I've put here are roughly aligned
3768.7 --> 3772.2: with what you would see in a Basel regulatory system.
3774.7 --> 3778.8: And you've got critical, high, and medium.
3779.1 --> 3784.3: And vaguely critical is for risks where the AI agent behavior
3784.3 --> 3790.3: creates a new and more or less unmitigated attack surface.
3791.1 --> 3794.6: So you have smart contract exploits and cyber exploits.
3794.6 --> 3800.0: You have a high grading for risks that are materially elevated
3800.0 --> 3803.8: where AI is involved, but some existing controls are there.
3804.4 --> 3808.7: And then you have a medium grade where traditional frameworks
3808.7 --> 3810.9: would still apply and you could adapt them
3810.9 --> 3814.0: without too much struggle.
3815.3 --> 3819.4: So we could replace this framework as well
3819.4 --> 3822.4: with something already established by BCBS
3822.4 --> 3824.9: or something like that.
3825.0 --> 3828.8: But the point being what I really want to do
3828.8 --> 3832.7: with this stylized taxonomy is have a little bit of discussion
3832.7 --> 3837.7: in the room about what comes to mind when we think
3837.7 --> 3844.0: about applying AI agents to a marketplace that is already managing

3844.0 --> 3847.0: all of these risks already from a TradFi
3847.0 --> 3850.5: and stablecoin smart contract perspective
3850.5 --> 3852.5: or DeFi smart contract perspective.
3853.0 --> 3857.7: If anybody wants to react either to the framework its
elf
3857.7 --> 3861.1: or to talk about the AI lens, I'd love to hear some c
ommentary.
3861.5 --> 3863.2: And it can be criticism as well.
3868.9 --> 3871.9: One thing I'm considering here is probably governance
itself.
3872.1 --> 3873.2: I think that's one thing that's missing.
3874.5 --> 3878.8: I do believe when it comes to AI agents on chain
3878.8 --> 3882.2: and their interactions, for those who may be maliciou
s,
3882.4 --> 3884.3: maybe less so, but for those that are malicious
3884.3 --> 3887.4: but still interacting on chain, they'll most likely b
e means
3887.4 --> 3892.5: of governance to upgrade contracts, to direct its goa
ls and objectives.
3893.8 --> 3897.5: So I think governance hasn't really been solved yet
3897.5 --> 3899.0: from a Web3 perspective.
3899.2 --> 3902.2: And if you overlay AI agents too, which are these bra
nd new
3902.2 --> 3905.1: independent economic entities and actors,
3905.1 --> 3908.2: it comes a little bit more complicated.
3908.7 --> 3910.5: And I think it increases the risk because then
3910.5 --> 3912.2: who is the accountable body at the end?
3913.2 --> 3917.0: So I think beyond what's here, and I'd love to hear
3917.5 --> 3919.9: everyone else's opinion about this, but I think the g
overnance
3920.6 --> 3923.0: behind the AI agent and the accountability
3923.0 --> 3927.2: is super significant because if any of these go wrong,
3927.6 --> 3931.2: we'll still be asking the same question as who did th
is?
3931.5 --> 3933.4: What caused this, right?
3933.4 --> 3937.6: And in most cases, well, in every case, the regulator
3937.6 --> 3940.4: wants an entity, either natural or unnatural,
3940.6 --> 3941.8: to be pointing a finger at.
3943.7 --> 3946.6: I'll just react to a couple of those points.
3946.8 --> 3947.3: Thank you, Joey.
3947.4 --> 3950.2: One, yeah, regulators want an entity.
3950.6 --> 3954.1: And as we discussed yesterday morning in the session
3954.1 --> 3956.9: that you led, we don't have legal personalities
3956.9 --> 3959.8: or registration pathways available at the moment.
3960.8 --> 3963.9: And also around tracing that accountability,
3964.2 --> 3965.8: that's also something that we can't do
3965.8 --> 3968.3: when we have LLMs involved.

3970.9 --> 3978.8: Right, so Mitchell's most likely going to get away
3978.8 --> 3982.0: with his crimes because he can write
3982.0 --> 3983.7: under the cover of an LLM.
3984.9 --> 3985.5: Please.
3990.9 --> 3996.2: So AI agent's transaction is kind of intent transacti
on.
3996.5 --> 3998.2: It's just intent transaction, right?
3998.5 --> 4002.8: So for consider about the regulation,
4003.1 --> 4005.9: we need talking about intent transaction at first.
4006.4 --> 4007.6: It's simple case, right?
4008.1 --> 4011.8: But I don't know kind of regulation
4011.8 --> 4013.6: for the intent transaction.
4014.0 --> 4015.1: Is there anything like that?
4016.4 --> 4019.1: I know that I used to be at Near,
4019.2 --> 4021.2: and we developed Near Intents.
4021.5 --> 4023.6: And so Near Intents, it didn't have,
4023.8 --> 4031.7: we had a very heavy legal and regulation team, thank
you.
4032.3 --> 4035.5: And for ourselves, we didn't really need
4035.5 --> 4037.8: to have any kind of oversight of it
4037.8 --> 4040.2: because what happened is that the intentions
4040.2 --> 4041.5: actually usually held.
4041.8 --> 4044.2: And what happens when intentions are broadcasted
4044.2 --> 4047.5: by a user, those who pick it up are regulated entitie
s,
4047.8 --> 4049.9: which are like solvers that are solving that intentio
n.
4050.2 --> 4052.3: Because even the AI needs to interact
4052.3 --> 4054.2: with institutions or different protocols
4054.2 --> 4055.6: to be able to complete the transaction,
4055.9 --> 4058.3: access liquidity, access credit, leverage,
4058.4 --> 4059.3: whatever it's going to be.
4060.0 --> 4062.1: And so I think that for that part of intention,
4062.4 --> 4064.3: it's more like who holds liquidity
4064.3 --> 4067.2: because the AI agent may have a bag of funding,
4067.2 --> 4069.0: but then who would interact with this
4069.0 --> 4069.9: will be a regulated entity.
4070.1 --> 4072.5: Like we used, we worked with like Wintermute and stuf
f.
4073.0 --> 4074.2: We were a regulated entity.
4074.3 --> 4076.3: So I think the regulators are fine from that degree,
4076.8 --> 4078.1: unless let's say, for instance,
4078.2 --> 4080.2: the AI agent becomes the market maker.
4080.8 --> 4082.3: If the AI agent becomes a market maker
4082.3 --> 4085.0: and they're handling intents, that's a really big pro
blem
4085.0 --> 4086.6: because then they're not a Wintermute,

4086.7 --> 4089.1: they're not regulated by entity, by any regulation.
4089.9 --> 4090.7: But that's what I've seen.
4090.8 --> 4093.0: I think on the users, if the LLM is a user,
4093.3 --> 4094.6: I don't think it should be much of a problem
4094.6 --> 4096.7: unless they need to pass KYC, then it's a problem.
4097.1 --> 4098.4: But if they're a market maker,
4098.9 --> 4101.6: well then how do they register as a market maker?
4102.5 --> 4103.5: Thank you.
4106.1 --> 4109.1: I also really liked that you raised the point about governance
4109.1 --> 4112.4: because I was thinking about that when I put this together
4112.4 --> 4115.3: because back when we first started looking at AI
4115.3 --> 4116.9: in this working group, we actually,
4117.3 --> 4119.8: the very first lens we applied was a governance lens.
4120.4 --> 4123.5: And we've been on quite an emotional rollercoaster
4123.5 --> 4126.5: over the last two years of trying to see
4126.5 --> 4127.5: where that was going.
4127.8 --> 4132.1: And I actually, right now, if you ask me what I think,
4132.1 --> 4134.5: I think there's a pretty good chance
4134.5 --> 4138.0: that we were actually correct in our original thesis,
4138.1 --> 4139.6: but that we were just too early.
4141.0 --> 4143.8: And that's the burden we bear for being visionaries, right?
4144.1 --> 4144.8: Here it began.
4146.3 --> 4150.9: So let's wait and see what happens on the governance front.
4151.1 --> 4155.5: But certainly, again, from a regulatory perspective,
4157.0 --> 4160.5: the reaction from regulators so far is one of
4160.5 --> 4162.2: nothing has changed.
4162.4 --> 4164.2: Institutions retain the same accountability
4164.2 --> 4165.3: that they had before.
4166.4 --> 4167.9: And so all of the onus is currently
4167.9 --> 4171.1: on those regulated entities to be able to answer
4171.1 --> 4172.9: every question that the regulator has
4172.9 --> 4176.0: about accountability and flow through,
4176.1 --> 4178.1: which does create a lot of challenges for adoption
4178.8 --> 4181.1: and is almost certainly slowing adoption down,
4181.7 --> 4183.1: probably for the best, honestly,
4183.2 --> 4185.5: because adoption is out of control already.
4186.8 --> 4188.6: There are already so many things going on
4188.6 --> 4192.6: that most of the community hasn't got a framework for.
4193.3 --> 4196.7: So maybe let's dive into a few of these
4196.7 --> 4199.7: in some more detail and we can take this a layer deeper.
4201.4 --> 4203.9: Just this first three cells here,
4204.7 --> 4206.9: technology, operational, and markets,

4207.1 --> 4209.3: we'll do a little dive on those.
4209.4 --> 4213.2: I think we already have a cyber working group
4213.2 --> 4217.4: and the bottom row is kind of a little bit
4217.4 --> 4220.1: less interesting, I think, right now.
4220.5 --> 4224.8: So let's just start with the upper left cell,
4225.6 --> 4226.6: smart contracts.
4227.0 --> 4231.2: So we've just talked a little bit about the fact
4231.2 --> 4234.9: that it's really hard to audit and trace accountabili
ty
4234.9 --> 4239.6: when you have an LLM-based agent.
4239.6 --> 4245.1: So the risk, well, the first risk here
4245.1 --> 4248.3: would be the risk of compounding errors
4248.3 --> 4250.8: if you have a small initial mistake by an agent
4252.5 --> 4255.8: that, say, interprets a single data point incorrectly.
4256.1 --> 4258.8: That error can propagate through a long chain of reas
oning
4259.5 --> 4262.2: and then the final outcome that you get at the end
4263.0 --> 4265.6: could be a terrible outcome
4265.6 --> 4267.9: and also really hard to trace as well.
4269.7 --> 4273.6: And these processes are becoming increasingly
4273.6 --> 4278.4: non-deterministic so the dynamism of that process
4278.4 --> 4281.9: means that you can't really predict
4281.9 --> 4285.6: how these reasoning processes are going to evolve.
4287.5 --> 4290.9: So also compounding this is the concept
4290.9 --> 4292.3: of excessive agency.
4293.5 --> 4296.0: So we've seen a lot of studies come out from,
4296.1 --> 4298.0: again, organizations like Anthropic
4298.0 --> 4301.3: who have shown that agents may act outside
4301.3 --> 4302.5: of the intended boundaries.
4303.7 --> 4308.1: So even if you give it very clear parameters,
4308.3 --> 4310.6: it can still do things that are quite unexpected
4310.6 --> 4313.1: or unpredictable outside of those parameters.
4313.4 --> 4318.0: So that adds to this problem that even if it's
4320.6 --> 4322.6: compounding an error from something that happened
4322.6 --> 4323.7: earlier in the reasoning chain,
4323.8 --> 4325.4: if it's not even acting within its parameters,
4325.4 --> 4327.4: then that magnifies the problem even further.
4329.0 --> 4332.1: We can also look at this through the lens
4332.1 --> 4334.9: of operational security threats
4336.4 --> 4338.8: and this includes prompt injections
4338.8 --> 4340.8: which I'm sure a lot of us have heard about
4340.8 --> 4343.6: by this point in time where attackers can manipulate
agents
4343.6 --> 4345.2: by injecting hidden instructions
4347.0 --> 4350.5: or you could have agent-to-agent infection.
4352.0 --> 4355.5: You could have also just a system overload
4355.5 --> 4358.9: so your agent triggers a loop that exhausts your reso

urces

4358.9 --> 4360.5: and then you have massive cost overruns
4361.2 --> 4362.8: or even system failures as well.
4362.9 --> 4365.2: And I'm sure plenty of us who've been experimenting
4365.2 --> 4367.6: with building and using agents have had an experience
4367.6 --> 4371.3: of an unexpected bill or just not really having
4371.3 --> 4374.0: that intuition for how much certain operations cost.
4375.5 --> 4380.4: So these are also operational risks as well.
4381.2 --> 4384.2: In terms of regulatory and legal exposure,
4384.9 --> 4388.6: as we've just discussed, what kind of penalty
4388.6 --> 4390.4: can you expect to receive from the regulator
4390.4 --> 4393.4: as well as reputational damage when you can't explain
4393.4 --> 4396.4: and can't audit how the losses occurred
4396.4 --> 4398.4: or how the breach occurred.
4399.1 --> 4402.2: And then finally, I think that we're still subject
4402.2 --> 4410.1: to human fallibility where simply owing to the fact
4410.1 --> 4416.6: that AIs speak with so much confidence
4417.1 --> 4419.2: and with what appears to be humanity
4419.2 --> 4426.6: and consciousness at times that it might induce a hum
an
4426.6 --> 4430.4: to have more trust in the process or the output
4430.4 --> 4431.9: than what they really should.
4432.6 --> 4434.4: And then it's tempting to take shortcuts
4434.4 --> 4438.7: rather than properly verifying safety or inputs or ou
tputs.
4441.3 --> 4445.1: So all worrisome.
4446.8 --> 4449.8: And yeah, we've already covered some of these points
4449.8 --> 4454.5: just in the discussion so far about legal personality,
4455.4 --> 4457.0: lack of transparency.
4459.1 --> 4463.3: The AML KYC discussion came up yesterday as well.
4463.7 --> 4468.1: And I see, again, some really interesting parallels
4468.1 --> 4471.6: to earlier on in the virtual asset space
4471.6 --> 4477.9: where a lot of builders wanted to offload accountabil
ity
4477.9 --> 4480.8: and compliance obligations by claiming
4481.5 --> 4484.3: either, well, it's decentralized or, well,
4485.3 --> 4487.3: the decision rests with the DAO.
4487.4 --> 4489.4: The decision rests with people who have voting tokens
4489.4 --> 4490.9: or governance tokens or whatnot.
4491.9 --> 4494.4: I can imagine the temptation for people
4494.4 --> 4498.6: to want to abuse a system where you can have
4498.6 --> 4500.9: legal personality by saying, well, it wasn't me,
4500.9 --> 4503.5: it was my agent, and they have legal personality,
4503.7 --> 4505.6: therefore I'm immune.
4511.1 --> 4513.4: I think it's also interesting to think about
4513.4 --> 4515.4: the systemic implications of all of this
4515.4 --> 4518.1: because the conversation so far is kind of imagining

4518.1 --> 4523.3: one institution that is plagued with AI errors.
4523.3 --> 4527.3: But when we compound that across the whole financial system
4527.3 --> 4530.7: or a large web or network of financial actors,
4531.2 --> 4533.6: then there are some really interesting questions
4533.6 --> 4537.1: worthy of research, not necessarily by Bigin,
4537.2 --> 4541.1: but I think by the industry and other experts.
4541.3 --> 4544.9: And one of these would be what happens if many agents
4544.9 --> 4547.5: are running similar models and all react similarly
4547.5 --> 4548.5: to market signals?
4549.9 --> 4552.1: How destabilizing might that be when everything
4552.1 --> 4554.9: is happening at machine speed, especially if they are
4554.9 --> 4561.0: targeted with misinformation or spoiled data
4561.0 --> 4562.7: or something of that nature?
4569.4 --> 4572.5: Yeah, one additional thing that we also consider near
4573.1 --> 4576.7: was this idea of like hyper-sandwiching
4576.7 --> 4580.0: because if you're thinking about an AI agent
4580.0 --> 4583.7: where it can do calculations at a rate that's
4583.7 --> 4586.0: far faster than a human can and even just basic softw
are
4586.8 --> 4589.8: that we have access to, we thought of these ideas
4589.8 --> 4592.0: where you could have these agents compile
4592.6 --> 4595.5: very complex transactions in a single block,
4596.0 --> 4598.7: and that block could completely change market dynamic
s.
4598.9 --> 4601.2: And so it's not even sandwiching anymore,
4601.3 --> 4603.1: and it's not really front-running, it's something new
4603.1 --> 4606.2: where the market could actually change so quickly
4606.2 --> 4608.5: in a single block time that a single block
4608.5 --> 4610.1: may not even be fast enough.
4610.8 --> 4617.0: So it may lead to the need for these huge TPS blocks
4617.0 --> 4621.8: to be the only way forward, and it kind of can threat
en
4621.8 --> 4625.4: the likes of Ethereum mainnet unless they do scaling
4625.4 --> 4628.1: correctly because if you could have, let's say,
4628.1 --> 4632.7: for instance, 20 or 30 or up to 100 different interac
tions
4632.7 --> 4636.3: in a single block time, it could completely change ma
rkets.
4636.3 --> 4638.6: And I don't think, no one's really talking about it
4638.6 --> 4640.7: because we haven't seen it yet, but in theory
4640.7 --> 4641.6: it could happen.
4642.6 --> 4644.8: But we just need to see some proof of that yet,
4644.9 --> 4646.7: but we just haven't, it's possible.
4647.1 --> 4649.0: Yeah, this is one very large point that we haven't
4649.0 --> 4650.6: spoken about yet, and especially if we add
4650.6 --> 4654.1: 100 million new of these independent economic actors

4654.1 --> 4657.0: doing the same thing, you know, fully transactions
4657.0 --> 4657.7: in a block time.
4660.4 --> 4666.5: One quick counter to that is if the market changes
4666.5 --> 4671.3: so much within the block, would the transactions fail
4671.3 --> 4675.1: or would they, so they would go through based
4675.1 --> 4681.0: on the old market, so pre-block market?
4686.1 --> 4690.8: So the question is, if the market was impacted
4690.8 --> 4693.3: by, let's say, all these agents interacting
4693.3 --> 4695.4: all at the same time on a single block time,
4695.7 --> 4696.8: would the market fail?
4696.9 --> 4697.7: No, it's just a feature.
4698.4 --> 4700.2: You know, the feature of the market is that, you know,
4700.2 --> 4702.1: you can only squeeze so many transactions into it,
4702.1 --> 4703.5: but it could increase gas costs.
4703.6 --> 4705.5: That's one element that could happen because more
4705.5 --> 4707.9: of these agents are trying to complete more complex
4707.9 --> 4710.9: behaviors, which would be high gas cost transactions
4710.9 --> 4713.0: or high gas cost activities.
4713.9 --> 4715.9: So I guess the only thing that would happen is gas
4716.5 --> 4718.5: would come out, and depending on the emissions
4718.5 --> 4721.4: and the burning of a blockchain, that could also
4721.4 --> 4722.5: change the dynamics too.
4722.8 --> 4725.1: We just don't know how exactly that will work,
4725.2 --> 4730.2: but we do know that agents can squeeze in several
4730.2 --> 4734.1: block activities in a single transaction,
4734.7 --> 4736.8: and then that would obviously be high gas costs
4736.8 --> 4739.1: for them, but then again, they may be willing
4739.1 --> 4741.9: to pay for it if you know the outcome is profitable,
4742.5 --> 4744.8: and if you set the objectives, which we have to do
4744.8 --> 4748.6: for LLM-based agents, to be high profit or profit
4748.6 --> 4750.5: maximizing, as Chloe put yesterday.
4752.1 --> 4754.6: In that case, then we could achieve that,
4754.7 --> 4757.2: and even if the profit could be minor and the gas
4757.2 --> 4759.4: costs could increase, it could impact the market.
4760.2 --> 4761.8: But I think it seems very similar to, like,
4761.8 --> 4764.1: the MevChase days, where we had a lot of these
4764.1 --> 4767.2: MevChases pushing a lot of individual human actors
4767.2 --> 4770.2: on-chain out, because the MevChasing was just bots
4770.2 --> 4772.2: that was squeezing transactions based off market
4772.8 --> 4775.2: signals before they hit the rest of the network.
4776.1 --> 4777.8: And I could see that happening again, but just
4777.8 --> 4780.2: at a greater scale, and not chasing Mev anymore,
4780.5 --> 4782.6: sandwiching, but more so just squeezing the market
4782.6 --> 4785.0: altogether, and squeezing liquidity altogether,
4785.8 --> 4788.2: if you included things like using flash loans,
4788.4 --> 4790.6: because if you're going to be using multiple
4790.6 --> 4793.3: activities in a block, most likely you'll be using

4793.3 --> 4795.0: flash loans at least once or twice in that
4795.0 --> 4797.6: period to be able to maximize the leverage
4797.6 --> 4798.4: within a block time.
4802.2 --> 4805.1: I'm Tetsumori Shita, academic from Japan.
4806.4 --> 4808.8: Regarding the very high-speed transactions,
4809.9 --> 4813.0: there has been already the regulation for
4813.0 --> 4816.0: high-frequency transaction using algorithm.
4816.7 --> 4820.9: Do you think that the risk and the way to
4820.9 --> 4824.3: address such kind of risk would be totally
4824.3 --> 4827.3: different from such traditional securities
4828.2 --> 4832.9: market algorithmic transaction and the use of AI?
4835.4 --> 4837.4: Honestly, we're going to have to wait and see,
4837.6 --> 4840.5: because even with the tools we've had for the
4840.5 --> 4843.6: last, let's say, 20 or 30 years, I would say,
4844.0 --> 4846.1: there will be nothing to what we're going to see.
4847.6 --> 4850.4: Even now, you might have a single entity that's
4850.4 --> 4852.5: completing multiple transactions within a few
4852.5 --> 4856.9: minutes, with AI agents and the functionalities
4856.9 --> 4858.9: of having certain block time and block sizes,
4860.1 --> 4864.1: we could see, let's say, 10 million AI agents
4865.2 --> 4869.7: committing, let's say, 20 transactions every
4869.7 --> 4870.5: five minutes.
4871.2 --> 4873.1: It's a crazy number when you look at the scale
4873.1 --> 4874.1: of Ethereum.
4874.3 --> 4875.5: You can see they go to 100.
4876.0 --> 4877.8: They're only limited by the amount of gas they
4877.8 --> 4879.1: have available to them, essentially.
4881.8 --> 4884.8: So I'm not sure, really, if the regulation, but
4884.8 --> 4886.8: we just have to see more examples of it, because
4886.8 --> 4888.9: in theory, they can do this, but I don't think
4888.9 --> 4890.8: there's any AI agents that have found the
4890.8 --> 4893.4: powerful route yet, but when they get smarter,
4893.5 --> 4895.2: they may find that powerful route, and then we
4895.2 --> 4897.7: will see that explosion of on-chain transactions
4897.7 --> 4900.6: led by LLM-based agents, and then we probably
4900.6 --> 4902.1: need to look back at the board and say, what do
4902.1 --> 4902.6: we do next?
4903.0 --> 4905.1: Because we don't have the data on what it looks
4905.1 --> 4905.4: like.
4905.4 --> 4909.8: For me, I think there are two main differences,
4910.1 --> 4913.3: the first one being that trading bots are rule
4913.3 --> 4916.8: based, whereas agents are adaptive, and also, as
4916.8 --> 4921.4: Joey said, the fact that the agents are seamless
4921.4 --> 4924.4: across different platforms and protocols and
4924.4 --> 4928.2: accounts, so it's not like a bot that's being
4928.2 --> 4931.4: built for each market, but it's leaping across
4931.4 --> 4933.1: everything at the same time.

4933.1 --> 4938.1: So, it is more complicated, I think, but it's
4938.1 --> 4941.3: definitely a question that I also had as well,
4941.6 --> 4944.2: and thank you for asking.
4945.2 --> 4946.8: I'll speed things along a little bit, because
4946.8 --> 4948.7: we're going to wrap up here in just 10 minutes.
4950.5 --> 4955.2: So, I tried to brainstorm what might be some
4956.1 --> 4957.9: policy recommendations that you were going to
4957.9 --> 4962.9: make if you wake up that day a panicked
4962.9 --> 4966.3: banking regulator and you say, oh, no, and then
4966.3 --> 4968.8: the next thing that you do is you call your
4968.8 --> 4972.4: friend who works inside your department and say,
4972.6 --> 4973.9: hey, we've got to do something about this
4973.9 --> 4977.3: immediately, and your colleague says, well, what
4977.3 --> 4978.1: are we going to do?
4979.0 --> 4981.2: You know, what would be the first policy
4981.2 --> 4982.8: recommendation that you would suggest?
4983.5 --> 4988.8: So, I don't have strong conviction in an answer
4988.8 --> 4991.9: to this, but I wanted to just get some reactions
4993.2 --> 5002.2: to see if, yeah, I definitely hope that some of
5002.2 --> 5005.1: these are at least thought-provoking because it
5005.1 --> 5007.6: might be worth fleshing them out a little bit
5007.6 --> 5012.4: more seriously, but does anyone want to react?
5012.6 --> 5015.6: Thank you, Joey, for kicking us off, and in
5015.6 --> 5017.5: case you can't read up the back, I'll just read
5017.5 --> 5018.9: out a few of these recommendations.
5019.3 --> 5021.4: The first one is to establish an AI agent
5021.4 --> 5024.7: identity framework, again, as we were exploring
5024.7 --> 5025.5: a little bit yesterday.
5026.3 --> 5033.5: The second one is maybe you would gatekeep your
5034.3 --> 5035.9: financial institutions and say if you're going
5035.9 --> 5039.0: to be deploying AI, they can only interact with
5039.0 --> 5040.9: smart contracts that have met certain audit
5040.9 --> 5042.3: standards that we're going to set the standard
5042.3 --> 5042.6: for.
5042.6 --> 5045.0: That could be a policy recommendation for your
5045.0 --> 5047.4: regulated community that you already supervise.
5047.8 --> 5050.8: A third recommendation could be cross-border
5051.7 --> 5052.4: standardization.
5053.8 --> 5057.3: Would global standards for AI agent activity in
5057.3 --> 5059.3: digital asset markets be desirable?
5060.1 --> 5063.4: We're already making some progress as a global
5063.4 --> 5067.5: community on some global standards for virtual
5067.5 --> 5068.1: asset industry.
5068.3 --> 5070.2: Is this something that we're ready for?
5070.6 --> 5071.6: Is it too early?
5071.9 --> 5074.3: Is it never too early?
5074.3 --> 5078.6: When it comes to AI, I don't know, and then I've

5078.6 --> 5081.7: got a little prudential policy down here around
5081.7 --> 5084.1: incorporating agent risk into stable coin stress
5084.1 --> 5086.6: testing, and I know from speaking with bankers,
5086.7 --> 5088.6: they are, of course, using AI already.
5089.4 --> 5091.6: It's going to become more and more deeply embedded
5091.6 --> 5092.6: into their business.
5093.7 --> 5096.5: How do we feel about that in Basel?
5096.8 --> 5099.4: So I'm just going to open this up to the floor
5099.4 --> 5100.6: for anyone who wants to comment.
5106.1 --> 5110.1: I'm just curious about the effect on the number
5110.1 --> 5113.8: three, if the agent, paying agent and receiving
5113.8 --> 5118.5: agent negotiate each other, and they choose the
5118.5 --> 5122.6: cheapest to deliver or cheapest to accept, and
5122.6 --> 5128.1: also relative to the acceptable amount and the
5128.1 --> 5129.4: higher limit that we discussed.
5129.4 --> 5134.6: If the agent, let's say, not only the cross-border
5134.6 --> 5138.4: transactions, but using the domestic transactions
5138.4 --> 5145.8: by the foreign-denominated stable coin, so it could
5145.8 --> 5149.6: be a matter of the foreign reserves in the
5149.6 --> 5154.5: foreign-denominated asset, and it may fluctuate
5154.5 --> 5155.8: day by day.
5155.8 --> 5163.1: So can we control, can we survey and adopt such
5163.1 --> 5170.2: cross-border effects and intended consequences
5170.2 --> 5175.6: of the reserved amount, and how can we monitor
5175.6 --> 5178.2: such things by the agent?
5179.0 --> 5183.7: By the humans, it can be regulated easily, but if
5183.7 --> 5189.9: agent autonomously select the denominated
5189.9 --> 5193.7: currency, or even the change we discussed
5193.7 --> 5202.9: before, how can we predict and also develop the
5202.9 --> 5206.8: standards for that selection, autonomous
5206.8 --> 5207.8: selection by the agent?
5214.8 --> 5217.0: Oh, you're just saying it's a good question.
5217.2 --> 5217.7: Yeah, okay.
5218.8 --> 5219.1: Please.
5219.5 --> 5225.1: So we can talk about another topic, agent who
5225.1 --> 5226.4: can rent a human, right?
5227.0 --> 5230.9: So we can, we're just only talking about the
5230.9 --> 5234.2: regulation for the agent, but we can talk about
5234.2 --> 5236.5: the agent who can rent a human.
5237.2 --> 5242.9: They can, for example, people who exploit
5242.9 --> 5247.2: insider information and exploit the number of
5247.2 --> 5250.9: something like that, or be terrorism like that.
5251.4 --> 5256.8: So I don't know if this is our responsibility or
5256.8 --> 5260.4: whose responsibility, but we can talk about that.
5263.4 --> 5264.1: Sure.
5269.9 --> 5271.5: So instantly the reason why I went straight for
5271.5 --> 5274.2: is being a great recommendation across others.

5274.6 --> 5277.2: One, agent identities, that's a very large thing
5277.2 --> 5278.1: you want to try and solve.
5278.4 --> 5280.2: The industry needs to solve that technically and
5280.2 --> 5282.7: from a regular point to create policy that's
5282.7 --> 5283.4: actually usable.
5284.5 --> 5286.7: Mandating smart contract audits, this has been a
5286.7 --> 5288.6: topic for the industry for literally since time
5288.6 --> 5289.1: immemorial.
5289.5 --> 5291.3: We have suggested these things are regulated as
5291.3 --> 5293.6: many times to help them feel more confident about
5293.6 --> 5295.4: smart contracts and cryptocurrencies.
5296.3 --> 5298.1: Even with stable coin regulations, it's still
5298.1 --> 5299.2: not a mandated requirement.
5299.2 --> 5302.2: So I don't see that being very useful anyways.
5302.9 --> 5304.7: Third, develop cross-port agent standards.
5305.2 --> 5307.1: We're still talking about this from a CBDC,
5307.3 --> 5308.4: stable coin point of view.
5308.6 --> 5310.1: Nothing has really been developed, but a lot of
5310.1 --> 5312.0: great discussion with this and whatnot.
5312.1 --> 5313.6: So I don't really see this happening either.
5314.4 --> 5318.1: But four, I think the idea of stress testing is
5318.1 --> 5318.8: super helpful.
5318.9 --> 5320.3: That's something I haven't thought about yet, but
5320.3 --> 5323.2: if I was developing a stable coin nowadays and
5323.9 --> 5325.7: we're getting ready for the agentic e-commerce
5325.7 --> 5328.4: future, and we're looking at being in the e-commerce,
5328.4 --> 5330.9: then you probably want to blend those two concepts
5330.9 --> 5333.6: together and realize, okay, how far can I take it?
5333.7 --> 5337.3: Let's say, for instance, I want to have an account
5337.3 --> 5340.7: that is human-based, and then we have an AI
5340.7 --> 5344.3: default-based, which is then managed by a human
5344.3 --> 5347.8: account that essentially sponsors the AI account,
5347.9 --> 5348.4: let's say.
5348.9 --> 5351.3: Then we need to say, okay, every single individual
5351.3 --> 5353.8: may have 10 or 20 different AI agents out there
5353.8 --> 5356.2: that are searching for e-commerce goods, that are
5356.2 --> 5358.0: doing some transactions, whatever else.
5358.6 --> 5360.7: So maybe we need to see, we've got on board 100,000
5360.7 --> 5365.2: people, but we need to have 2 million other
5366.9 --> 5369.4: individuals, independent actors, adding into the
5369.4 --> 5369.8: network.
5370.2 --> 5372.7: And then each of those may do 10 to 20 times more
5372.7 --> 5373.4: than the individuals.
5374.7 --> 5375.9: So I think that it definitely needs to be
5375.9 --> 5376.4: modeled out.
5377.1 --> 5378.6: You definitely need to try it, and you definitely
5378.6 --> 5379.6: need to try to self-regulate.

5379.7 --> 5383.2: If you're a stable coin company, you're self-regulating
5383.4 --> 5386.6: some parts where you think that the regulator may
5387.2 --> 5390.2: be interested in maybe 10 years, or 5 or 10 years,
5390.6 --> 5392.6: and that could be proving that you've made a
5392.6 --> 5394.9: network that was responsible for AI agents.
5395.7 --> 5397.7: And that could just be literally, can we process
5397.7 --> 5399.4: that many transactions, can we make sure there's
5399.4 --> 5401.4: no front-running, there's no sandwiching, there's
5401.4 --> 5404.9: no chargeback fraud, there's no, are these
5404.9 --> 5405.6: elements right?
5405.9 --> 5407.3: How you prove that, I'm not sure.
5407.8 --> 5410.0: However, I think it's very important to have that
5410.0 --> 5412.4: ready to go for regulators, because when they come
5412.4 --> 5414.3: knocking on your office, asking for a meeting,
5414.5 --> 5416.0: they're not asking for lunch, they'll be asking
5416.0 --> 5418.3: for what happened, what went wrong, and you
5418.3 --> 5419.6: should be able to prove that very clearly.
5422.3 --> 5424.4: Sounds like a fun challenge for the reg tech
5424.4 --> 5427.1: community to get involved with, absolutely.
5428.5 --> 5431.9: We are basically out of time, so I'm going to
5431.9 --> 5433.5: make a couple of quick suggestions.
5435.6 --> 5439.4: I had a few slides prepared to give a little
5439.4 --> 5442.1: overview about the Wharton stable coin toolkit
5442.1 --> 5445.0: and how it complements the research that we're
5445.0 --> 5446.9: doing in our working group at the moment.
5447.8 --> 5452.1: I'm going to offer to actually present that at
5452.1 --> 5455.1: our next phase working group meeting online, so
5455.8 --> 5458.2: that we give it the time that it deserves.
5459.1 --> 5462.8: And for the, yes, everyone, we meet once a
5462.8 --> 5465.9: month to talk through these issues, and we have
5465.9 --> 5467.7: a lot of fun, so please join us online.
5468.5 --> 5470.3: So for the last two minutes that we have of
5470.3 --> 5473.9: this session, next steps on this particular
5473.9 --> 5477.7: discussion, so I opened up this agenda item by
5478.3 --> 5483.1: making a pretty firm claim that AI agents are
5483.1 --> 5486.2: going to be the predominant user base of virtual
5486.2 --> 5489.2: assets, at least as far as stable coin payments
5489.2 --> 5491.8: are concerned, and so this is an area where
5491.8 --> 5494.2: Bigin needs to take responsibility if we want
5494.2 --> 5497.3: to continue to be a voice of leadership for
5497.5 --> 5499.1: financial applications.
5499.9 --> 5506.3: So we could pursue this exercise as a little bit
5506.3 --> 5509.9: more of like a serious project, but as the
5509.9 --> 5514.4: initial step, what I would propose is obviously
5514.4 --> 5517.2: we will have reports that will be write-ups of
5517.2 --> 5519.7: each session that has been held at block 14, as

5519.7 --> 5522.3: we do for every block meeting, but for the
5522.3 --> 5525.6: report for this particular session, maybe we
5525.6 --> 5528.5: could take it on a little bit of a road show
5528.5 --> 5533.5: and try to gather some more feedback or have
5533.5 --> 5535.9: some of these conversations with broader
5535.9 --> 5537.8: audiences who weren't able to participate in
5537.8 --> 5542.6: this session today, right, because we've
5543.5 --> 5546.2: gathered some great feedback from this last
5546.2 --> 5548.8: 40 minutes, and I think, you know, once we've
5548.8 --> 5550.7: got that report, if we take it on a little road
5550.7 --> 5553.8: show, we can see whether there's more of a role
5553.8 --> 5556.7: for Bigin to play here, or at the very least,
5556.9 --> 5559.9: we'll be able to send the message out there
5559.9 --> 5563.5: that Bigin is thinking about these really
5563.5 --> 5564.8: important issues that are a little bit
5565.7 --> 5567.9: underdiscussed amidst all the AI hype right now.
5568.1 --> 5572.5: So welcome any feedback on that proposed next
5572.5 --> 5572.8: step.
5573.3 --> 5576.9: If anyone wants to make any final comments or
5576.9 --> 5579.4: table anything for the record, we'll wrap up
5579.4 --> 5580.9: this session here.
5585.2 --> 5585.8: Great.
5586.0 --> 5586.3: Thank you.
5591.4 --> 5592.1: Thank you.
5592.1 --> 5592.7: Thank you very much.
5592.8 --> 5595.6: It's the end of this block number 14.
5596.0 --> 5600.1: I strongly believe that these two days are
5600.1 --> 5603.3: very fruitful for everyone, and as Chloe
5603.3 --> 5605.4: mentioned, so we will publish that meeting
5605.4 --> 5607.2: report of each session as soon as possible,
5607.2 --> 5611.3: so it's a great input to every stakeholder.
5612.3 --> 5615.4: And so as Chris mentioned, each working group
5615.4 --> 5621.8: holds an online meeting, so some working group
5621.8 --> 5624.0: holds it on a monthly basis, some working
5624.0 --> 5626.9: group holds it on a biweekly basis, but, you
5626.9 --> 5628.6: know, Bigin is a permissionless place.
5628.7 --> 5630.9: Anyone can join any discussion to create
5630.9 --> 5634.2: a document, a common document, and feel free
5634.2 --> 5639.0: to jump in for any discussion you are
5639.0 --> 5639.7: interested in.
5640.5 --> 5643.2: Then we will hold the next general meeting,
5643.3 --> 5646.8: block number 15, so we are in Washington,
5647.0 --> 5650.4: D.C., late October, I think, but it's during
5650.4 --> 5651.4: the D.C. FinTech Week.
5652.6 --> 5656.3: And so please mark your calendars.
5656.6 --> 5659.9: I think also we don't have any exact date,
5659.9 --> 5662.4: but we will inform that information as soon

5662.4 --> 5663.8: as possible when decided.
5665.4 --> 5667.4: Anyway, so please feel free to jump in our
5667.4 --> 5669.4: online meetings and the physical meeting
5669.4 --> 5671.6: happening in Washington, D.C., and hopefully
5671.6 --> 5673.8: we will be back in Tokyo next year.
5674.8 --> 5678.6: And so last session we discussed about the
5678.6 --> 5682.4: competition supported by Japanese government,
5683.3 --> 5687.4: and for this particular topic, PQC migration
5687.4 --> 5690.4: key management competition, we will definitely
5690.4 --> 5695.4: have some meetings in Hamamatsu, late October,
5695.8 --> 5697.6: during that computer security symposium.
5698.8 --> 5700.8: And this is another opportunity we hold
5700.8 --> 5701.6: a meeting in Japan.
5702.3 --> 5703.7: Anyway, thank you very much for joining today,
5703.9 --> 5707.4: and see you soon online at the next meeting.
5707.7 --> 5708.4: Thank you very much.
5711.7 --> 5714.3: And support Japanese participants, so we
5714.3 --> 5717.1: will hold another Japanese-only session to
5717.1 --> 5721.1: have some discussion, led by Morita-sensei.
5721.8 --> 5723.2: Anyway, thank you very much.
5723.4 --> 5727.8: And Japanese participants will have a
5727.8 --> 5729.9: look-back session at 5.10, so if you have
5729.9 --> 5731.5: time, please feel free to join us in Room A.
5732.4 --> 5733.3: Thank you.
5760.0 --> 5761.4: Thank you.